

⁵ Constance Loizos, “Q&A: Alex Cheung,” *InvestmentNews*, May 17, 1999, p. 38. The highest 20-year return in mutual fund history was 25.8% per year, achieved by the legendary Peter Lynch of Fidelity Magellan over the two decades ending December 31, 1994. Lynch’s performance turned \$10,000 into more than \$982,000 in 20 years. Cheung was predicting that his fund would turn \$10,000 into more than \$4 million over the same length of time. Instead of regarding Cheung as ridiculously overoptimistic, investors threw money at him, flinging more than \$100 million into his fund over the next year. A \$10,000 investment in the Monument Internet Fund in May 1999 would have shrunk to roughly \$2,000 by year-end 2002. (The Monument fund no longer exists in its original form and is now known as Orbitex Emerging Technology Fund.)

⁶ Lisa Reilly Cullen, “The Triple Digit Club,” *Money*, December, 1999, p. 170. If you had invested \$10,000 in Vilar’s fund at the end of 1999, you would have finished 2002 with just \$1,195 left—one of the worst destructions of wealth in the history of the mutual-fund industry.

⁷ See www.thestreet.com/funds/smarter/891820.html. Cramer’s favorite stocks did not go “higher consistently in good days and bad.” By year-end 2002, one of the 10 had already gone bankrupt, and a \$10,000 investment spread equally across Cramer’s picks would have lost 94%, leaving you with a grand total of \$597.44. Perhaps Cramer meant that his stocks would be “winners” not in “the new world,” but in the world to come.

⁸ The only exception to this rule is an investor in the advanced stage of retirement, who may not be able to outlast a long bear market. Yet even an elderly investor should not sell her stocks merely because they have gone down in price; that approach not only turns her paper losses into real ones but deprives her heirs of the potential to inherit those stocks at lower costs for tax purposes.

* Raskob (1879–1950) was a director of Du Pont, the giant chemical company, and chairman of the finance committee at General Motors. He also served as national chairman of the Democratic Party and was the driving force behind the construction of the Empire State Building. Calculations by finance professor Jeremy Siegel confirm that Raskob’s plan would have grown to just under \$9,000 after 20 years, although inflation would have eaten away much of that gain. For the best recent look at Raskob’s views on long-term stock investing, see the essay by financial adviser William Bernstein at www.efficientfrontier.com/ef/197/raskob.htm.

* Graham’s “brief discussion” is in two parts, on p. 33 and pp. 191–192. For more detail on the Dow Theory, see <http://vikingsom.yale.edu/will/dow/dowpage.html>.

† Mutual funds bought “letter stock” in private transactions, then immediately revalued these shares at a higher public price (see Graham’s definition on p. 579). That enabled these “go-go”